DARK SIDE OF THE BOOM

The surge, though, has been accompanied by financial casualties too. The frenzy around IPOs, for instance, has pushed valuations sky-high, often untethered from fundamentals. Many tech startups and fintech firms have seen their share prices triple on listing day, only to slide soon after. The 2021 debut of Zomato, where shares jumped over 50 per cent on day one, is often cited as a case in point; within a year, the stock lost nearly half its value. Similar post-listing swings for Paytm and Policybazaar left late-stage retail entrants nursing losses. According to a Morgan Stanley report from late 2024, nearly 40 per cent of IPOs in FY23 and FY24 fell below their issue price within six months.

Small investors have been hurt big. Puneet Goyal, a 36-year-old college teacher in Udaipur, had hoped to use his stock market gains to buy a home. A sharp correction in early 2025 wiped out Rs 2 lakh from his portfolio, forcing him to postpone his plans. Stories like his are increasingly common. A SEBI study revealed that, between FY22 and FY24, around 11.3 million individual traders collectively lost Rs 1.81 lakh crore in F&O trading. Saurabh Mukherjea, Founder and Chief Investment Officer at Marcellus Investment Managers, has a word of caution. "I don't have a problem with gamification—making things easier to access and use should be the way forward across all industries, including investing," he says. "The real challenge is self-control. If investors can't rein in their animal spirits, they'll end up hurting themselves—with or without gamification."

The RBI, meanwhile, noticed another alarming trend. By January 2024, outstanding credit card dues had surged to Rs 2.6 lakh crore—a 31.3 per cent jump in just a year—raising fears that consumers were using borrowed money to gamble on stocks. In other words, part of the equity market boom was being driven by personal debt. Meanwhile, the shift from fixed deposits to equities disrupted bank liquidity and constrained their lending capacity.

CASE STUDY



SUMIT KUMAR

"TOO MANY TIPS CAN CONFUSE YOU" | SHIVAM PANDEY, 31

Senior Analyst | Sultanpur, Uttar Pradesh

Shivam didn't arrive at stock trading through hype or hearsay. A senior analyst in a private firm, his interest took root while pursuing a master's in finance. "It started when I began linking classroom theories to real-world market trends," he says. "Trading suddenly felt more than just textbook content—maybe even a steady source of passive income."

That idea has since evolved into a carefully built Rs 5 lakh equity portfolio. Modest in size, it reflects discipline, not daydreaming. Shivam doesn't chase daily gains or park money for decades. Instead, he prefers swing trading—buying stocks and holding them for a few weeks to months. "Two to three months is my usual holding period," he says. "I don't rely on Telegram channels. Too many tips can confuse you."

"TWO TO THREE MONTHS IS MY USUAL HOLDING PERIOD. IT FITS MY SCHEDULE AND CAPITAL BETTER"

Losses, when they come, don't rattle Shivam. "I booked some losses recently. It happens. I treat them as operating costs. As long as my risk is managed, I can live with temporary setbacks."

—Avaneesh Mishra

As a result the government and regulators have begun watching closely. From FY23 onwards, SEBI had rolled out a series of reforms to rein in frothy retail speculation—especially in the booming equity derivatives segment. Risk disclosures became compulsory before every F&O trade. Pop-up warnings on broker apps began flashing sobering messages: 'Nine out of ten F&O traders lose money'. For leveraged trades, income proof was mandated, and suitability assessments introduced to screen retail participants. The 2024 Union budget put clamps on retail investors. It scrapped inflation indexation for debt mutual funds, hiked the Securities Transaction Tax (STT)